

Tax filing guide for PhD students dealing with fellowships and student employment — Action Checklist

PRINT THIS PAGE AND KEEP IT SOMEWHERE VISIBLE

TRACK YOUR INCOME SOURCES

- ☐ **Track Your Income Sources:** Download your complete transaction history from January 1 through December 31 of the tax year, including every deposit regardless of source or payment system.
- ☐ **Track Your Income Sources:** Sort each deposit into the five income categories—fellowship payments, stipend advances, research assistantship wages, teaching assistantship wages, and grant funds—because the same dollar amount from different sources has completely different tax treatment.
- ☐ **Track Your Income Sources:** Record the exact dollar amount and source name for every payment you received, creating a working document that accounts for every dollar before you begin tax calculations.
- ☐ **Track Your Income Sources:** Create a spreadsheet with columns for date, amount, source name, source type, and expected tax form, filling in every deposit you can locate and marking uncertain entries clearly.

UNDERSTAND YOUR TAX FORMS

- ☐ **Understand Your Tax Forms:** Recognize that your 1098-T shows tuition payments made to your institution, not money deposited into your bank account, so it will never match your actual cash receipts.
- ☐ **Understand Your Tax Forms:** Compare Box 1 (payments received) and Box 2 (amounts billed) on your 1098-T to understand which reporting method your institution uses and why the numbers differ from your deposits.
- ☐ **Understand Your Tax Forms:** Identify which income sources require a W-2 versus which appear only on your 1098-T, since employment wages and fellowship payments use different tax forms entirely.
- ☐ **Understand Your Tax Forms:** Check Box 5 on your 1098-T for scholarship and grant amounts to understand what your institution reported as educational assistance versus taxable income.

PREPARE TO FILE CORRECTLY

- ☐ **Prepare to File Correctly:** Report fellowship income without a work requirement as educational funding using the appropriate sections of Form 1040, not as ordinary wages, because these payments have special tax treatment.
 - ☐ **Prepare to File Correctly:** Ensure all RA and TA wages appear on your W-2 and are filed as employment income through your institution's payroll system, since work-based payments are taxed differently than fellowships.
 - ☐ **Prepare to File Correctly:** Determine whether you need to file Schedule OI and Form 8843 by checking your residency status, as nonresident aliens have additional filing requirements that most domestic students do not face.
 - ☐ **Prepare to File Correctly:** Match each income source from your tracking spreadsheet to the correct tax form and filing location, creating a complete picture of your tax situation before you begin filling out Form 1040.
-

Companion to the full guide in your Lemon Squeezy library — check off each item as you complete it.